

	<i>Additional Common Stock Issuable</i>				Total Additional Common Stock
	Common Stock Outstanding	On Conversion of Bonds	Preferred Stock	Against Warrants	
Avco Corp.	11,470	1,750	10,436	3,085	15,271
Gulf & Western Inc.	14,964	9,671	5,632	6,951	22,260
International Tel. & Tel.	67,393	190	48,115		48,305
Ling-Temco-Vought	4,410 ^a	1,180	685	7,564	9,429
National General	4,910	4,530		12,170	16,700
Northwest Industries ^b	7,433		11,467	1,513	12,980
Rapid American	3,591	426	1,503	8,000	9,929

^a Includes "special stock."

^b At end of 1970.

EXAMPLE: A typical example was presented by Studebaker-Worthington Corp. at the close of 1970. The common sold at 57, while the \$5 convertible preferred finished at 87½. Each preferred share is exchangeable for 1½ shares of common, then worth 85½. This would indicate a small money difference against the buyer of the preferred. But dividends are being paid on the common at the annual rate of \$1.20 (or \$1.80 for the 1½ shares), against the \$5 obtainable on one share of preferred. Thus the original adverse difference in price would probably be made up in less than a year, after which the preferred would probably return an appreciably higher dividend yield than the common for some time to come. But most important, of course, would be the senior position that the common shareholder would gain from the switch. At the *low* prices of 1968 and again in 1970 the preferred sold 15 points higher than 1½ shares of common. Its conversion privilege guarantees that it could never sell lower than the common package.²

Stock-Option Warrants

Let us mince no words at the outset. We consider the recent development of stock-option warrants as a near fraud, an existing menace, and a potential disaster. They have created huge aggregate dollar "values" out of thin air. They have no excuse for existence except to the extent that they mislead speculators and investors. They should be prohibited by law, or at least strictly limited to a minor part of the total capitalization of a company.^{*}